الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ECO102
Principles of Economics

Final Examination / Form B
2025-2026 / Spring

11 – June – 2026

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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QUESTION ONE: (12 marks)

1. Which of the following best describes the labour force?

A. All people in the working-age population
B. The sum of employed and unemployed people
C. Only people who are currently employed
D. People who are unemployed and not looking for work

2. Which of the following people would be counted as unemployed?

A. A person who is not working and not looking for work
B. A person who is working part-time
C. A person who is without work but actively looking for a job
D. A retired person

3. Structural unemployment occurs mainly because of:

A. Changes in technology or skills required for jobs
B. Temporary job searches between jobs
C. Seasonal changes in demand
D. Workers choosing not to work

4. The unemployment rate is calculated as:
A. (Unemployed ÷ Working-age population) × 100
B. (Employed ÷ Labor force) × 100
C. (Unemployed ÷ Labor force) × 100
D. (Labor force ÷ Population) × 100

5. If the CPI increases from 100 to 105, what does this indicate?

A. Prices decreased by 5%
B. Prices increased by 5%
C. Unemployment increased by 5%
D. Production increased by 5%

6. What is inflation?

A. A rise in unemployment
B. A fall in the money supply
C. A continuous rise in the price level
D. A one-time price increase

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QUESTION TWO: (12 MARKS)

2A) List three indicators used to measure the labour market. (6 marks)

2B) Sara recently graduated and is actively looking for a job but has not found one yet. Identify Sara's employment status in the labour market. (6 marks)

QUESTION THREE: (12 MARKS)

3A. State two economic costs of unemployment. (6 marks)

3B. Explain with an example how prolonged unemployment can destroy human capital. (6 marks)

QUESTION FOUR: (14 MARKS)

4A. What relationship is illustrated by the Aggregate Demand curve? (4 marks)

4B. Suppose a basket of goods and services has been selected to calculate the Consumer Price Index (CPI) and 2012 has been selected as the base year.

- In 2012, the basket's cost was $80.
- In 2015, the basket's cost was $88.
- In 2018, the basket's cost was $96.

Calculate the value of the CPI in 2015. Show the equation and your calculations. (4 marks)

4C. Using the same information, calculate the inflation rate between 2015 and 2018. Show the equation and your calculations. (6 marks)

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End of Questions

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